commodity. Steel had become cheaper and it was doubtful if TISCO would be able to match the cost of imported steel. It was suddenly confronted with the prospects of losing a significant portion of its market.

The protective umbrella over the indigenous steel industry had been lifted, said the serious-looking chairman. The Jindals, the Ruias and the Mittals, Tata's competitors, had announced the setting up of modern steel plants. The South Korean steel giant POSCO had also declared its decision to enter the Indian market.

He recalled TISCO's glorious past and terming it a blue-chip company, warned that the steel maker was now staring at a loss of Rs 180 crore. He then posed a query, 'Will you let this company have a red bottom line?' It startled everyone in the room. They were 'emotionally charged', Mukherjee recalls. Then came Ratan's solution to address the immediate problems to rescue the company.

As if he had planned his strategy in advance, he announced that the margin on steel should improve by Rs 2,000 per tonne. Half of it, he said, should come from cost-cutting and the other half from price increase in steel. He constituted two teams to spearhead these changes. The first called the 'cost task force' was headed by K.C. Mehra, ED, Plant, and the second called the 'revenue task force' was headed by Ramesh Bhasin, ED, Raw Materials. Both teams had to achieve half their targets by March 1994.

The reduction may not have appeared to be much, but it was. It was 7.5 per cent of the cost of production and it looked like an 'impossible target', says Mukherjee. Given TISCO's efficiency level at that time, 'these were unbelievably tough targets', says Muthuraman. The freight charges had also increased by 10–12 per cent in the budget of 1993–94. Increasing the price too was difficult as it had to be achieved without undermining its competitiveness. But Ratan was unrelenting. He was undeterred and it discomfited the meeting attendees. He gave them a clear choice: 'Shape up or be shipped out,' Mukherjee adds.

The challenged senior leaders worked the phones at midnight and alerted their colleagues in Jamshedpur about the seemingly unachievable target that they had to deliver. The company, which had some of the best and brightest brains in the country, was for the first time thrown a challenge that would put them to the test. The staff was told to 'forget sleeping tonight', the 'chairman has challenged us, and we have to deliver'. The management would return to Jamshedpur on Saturday and 'Sunday will be a full working